

THE SESSION · POST-CLOSE READ

Two Pressures *Ease*

Brent fell about 3.5% to roughly \$100 on openings toward diplomacy with Iran and the 10-year Treasury yield held just under 5%. Chipmakers led the S&P 500 up 1.49% and the Nasdaq 2.25% to its first record close since June, with AMD finishing above \$1 trillion in market value. The Dividend Strategy beat DVY and trailed SPY; the Growth Portfolio trailed IUSG.

S&P 500 ▲ 1.49%

NASDAQ ▲ 2.25%

DOW ▲ 0.71%

VIX 14.8

BRENT ▼ \$100

DIVIDEND STRATEGY

▲ BEAT DVY · TRAILED SPY

+0.55%

1-DAY

FCI		+0.55%
DVY		-0.64%
SPY		+1.55%

YTD +18.44% vs DVY +14.08% · SPY +14.32%

GROWTH PORTFOLIO

▼ TRAILED IUSG

+1.67%

1-DAY

FCI		+1.67%
IUSG		+2.20%

YTD +24.75% vs IUSG +16.71%

THE SESSION

The two pressures that set last week's tone both eased, and the market's leadership went back to the chipmakers. Brent fell about 3.5% to roughly \$100, a fourth straight decline, after President Trump said he would probably be open to meeting Iran's President Masoud Pezeshkian at this week's UN General Assembly and, per a New York Times account carried by CNBC, held off on striking the Houthis after Saturday's attack on Saudi Arabia. The 10-year Treasury yield, which crossed 5% last week, edged lower and stayed just under that mark. With both easing, the S&P 500 rose 1.49% to 7,764, the Dow 0.71%, or 366 points, to 52,049, and the Nasdaq 2.25% to 27,121 — its first record close since June. The VIX was little changed at 14.8. The leadership was specific. Early adoption of Meta's new Muse AI agent, reported as the top free iPhone app within ten days of release, was read as evidence that agent workloads draw on server processors as well as accelerators: Meta rose 11.34%, Intel 12.14%, Arm 17.16%, and AMD 9.95% to finish above \$1 trillion in market value for the first time. The iShares Semiconductor ETF gained 4.93%; the energy sector fund XLE fell 2.91% with crude. Thursday's White House dinner for President Xi, with several chip executives expected to attend,

sits behind the move as well. One caution for the week: a record carried by a handful of names, with oil still near \$100 and the 10-year near 5%, is a better day rather than a changed backdrop. Eight Fed speeches are scheduled through Friday.

The Dividend Strategy gained 0.55% against a 0.64% decline for DVY — a 1.19-point lead — and trailed SPY's 1.55% by 1.00 point. Both gaps have one source. DVY holds about 3% in technology against roughly 26% in financials, 22% in utilities, 14% in staples, and 10% in energy, and it fell on a day the S&P 500 rose 1.49%, which says how little of the advance reached those groups. SPY, at nearly 39% technology, captured most of it. The sleeve sits between the two because it owns a measure of each. Its semiconductor and electronics holdings did the lifting: Qualcomm +9.29%, more than recovering Friday's 5.82% decline; Lam Research +4.92%; TE Connectivity +2.24%; and Analog Devices +1.94%. Constellation regained 2.91% of Friday's 3.08% loss as yields eased, and NatWest +1.53%, Fastenal +1.31%, and Caterpillar +0.95% added to it. Thirteen of the twenty-five holdings advanced. The twelve that declined were the defensive and commodity names: Nutrien -3.33% on a presidential post about Belarusian potash, Steel Dynamics

–2.24%, Old Republic –1.81%, Colgate –1.37%, Atmos –1.28%, Genuine Parts –1.26%, PACCAR –1.15%, and NextEra –1.04%. A dividend sleeve that owns chip businesses with growing payouts will sepa-

rate from a utility- and financial-heavy benchmark on days like this, in both directions: on Friday the difference cost 0.05 points, and today it earned 1.19.

Last week's pressures and today's relief moved prices, not the earning power of the businesses. The owner's task was the same on both days.

The Growth Portfolio gained 1.67%, its third straight advance, and trailed IUSG's 2.20% by 0.53 points. Twenty of the twenty-five holdings rose, led by the chip and connectivity names — AMD +9.95%, Credo +6.47%, Marvell +5.38%, TSM +2.37%, Nvidia +2.30%, Keysight +2.07%, and NXP +1.94% — with Fortinet +3.17% and ServiceNow +1.66% joining after sitting out Friday's session. The shortfall is a matter of construction rather than selection. IUSG carries more than half its weight in technology and about 15% in communication services, where Meta's 11.34% gain landed, and almost nothing in energy. The sleeve deliberately owns energy and gold, and those were its decliners: Chevron –2.73%, ONEOK –1.77%, Agnico Eagle –1.01%, and CNX

–0.32%. Those holdings earn their place on the days crude and yields move the other way, as they did through the first half of September. Bitcoin extended its weekend advance to about \$86,000, its highest since late January per CNBC; IBIT rose 6.50% and ETHA 4.67%, Hut 8 added 4.74% and Robinhood 2.90%, while MARA, +0.30%, gave back most of an opening gain after Friday's 13.75%. On the year, the Dividend Strategy stands at +18.44% against SPY's +14.32%, a +4.12-point spread — SPY having moved past DVY, at +14.08%, as the higher of the sleeve's two marks — and the Growth Portfolio at +24.75% against IUSG's +16.71%, a +8.04-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

AMD +9.95%

GROWTH

Closed at \$615.52, a record, with market value above \$1 trillion for the first time (CNBC, Reuters). No company announcement; Bloomberg tied the chip group's move to early adoption of Meta's Muse AI agent and the server-processor demand it implies. Intel and Arm rose more.

QCOM +9.29%

DIVIDEND

More than recovered Friday's 5.82% decline. Lumentum announced a joint demonstration with Qualcomm and Corning of a die-to-die optical interconnect for AI systems at ECOC 2026, and the company's Snapdragon Summit is this week. Closed at \$194.23.

DECLINERS

NTR –3.33%

DIVIDEND

President Trump posted that the U.S. is working on a large purchase of potash from Belarus at prices below what it pays Canada (Bloomberg); Mosaic, CF Industries, and Intrepid Potash also declined. Closed at \$74.52.

CVX –2.73%

GROWTH

Crude fell for a fourth session — Brent about 3.5% to roughly \$100 — on openings toward diplomacy with Iran; the energy sector fund XLE fell 2.91%. Closed at \$203.78.

CRDO +6.47%

GROWTH

Fourth straight gain with the AI-connectivity group during the ECOC optical-networking conference; no company-specific announcement surfaced. Closed at \$187.27, still about 12% below its 50-day average.

MRVL +5.38%

GROWTH

Demonstrated 2-nanometer optical interconnect technology for AI data centers at ECOC 2026 in Málaga. Closed at \$257.38.

LRCX +4.92%

DIVIDEND

Second straight gain with the chip-equipment group after Friday's 6.98%; no company-specific news surfaced. The iShares Semiconductor ETF rose 4.93%. Closed at \$302.28.

STLD –2.24%

DIVIDEND

Second straight decline following last week's third-quarter guidance; no new company announcement surfaced. Closed at \$229.99.

ORI –1.81%

DIVIDEND

No company-specific announcement surfaced. The shares sit about 7% below their 50-day average.

HOLDINGS NEWS

AMD closes above \$1 trillion. Advanced Micro Devices rose 9.95% to \$615.52, a record close, lifting its market value past \$1 trillion for the first time; MarketWatch counts it the fourteenth U.S. company to reach that mark. There was no company announcement. Bloomberg traced the chip group's advance to the early reception of Meta's Muse AI agent, which investors read as evidence that agent-style workloads draw on server processors — AMD's EPYC line among them — as well as accelerators; Intel rose 12.14% and Arm 17.16% on the same reading. Two cautions belong beside the milestone. A consumer app's download ranking is a signal about demand, not an order on anyone's books. And the shares now stand about 24% above their 50-day average and 74% above their 200-day, which is a statement about price rather than about the business. A round number of market value changes nothing about what the company earns. The Growth Portfolio owns AMD for its share of data-center compute over a period of years; after a move of this size, position weight is a fair item for the committee's next review, and the thesis is unchanged.

Nutrien and a post about Belarus. Nutrien fell 3.33% to \$74.52 after President Trump wrote that the United States is working on a large purchase of potash from Belarus at prices well below what it pays Canada, per Bloomberg, which placed the post within the wider trade dispute with Ottawa. Mosaic, CF Industries, and Intrepid Potash declined as well. Some context belongs here. Washington lifted its sanctions on Belarusian potash last December, and at that time S&P Global's fertilizer analyst told Bloomberg the global balance would change little, because Belarus had already regained most of its pre-sanction export volume — tons sent to the United States would be tons not sent elsewhere. A post is not a contract, and no terms, volumes, or timing were given. The shares remain above both their 50-day and 200-day averages. Nothing in the headline alters the Dividend Strategy's reason for owning the company: the world's largest potash producer, selling an input that farms need every season.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.44%

vs DVY +14.08% / SPY +14.32%

Spread vs SPY **+4.12 pts**

GROWTH PORTFOLIO

+24.75%

vs IUSG +16.71%

Spread vs IUSG **+8.04 pts**